price. If no agreement is reached, then unwinding has to be done with the original protection seller at FIMMDA price.

- CDS shall be permitted on securities with original maturity up to *one year* like CPs, certificates of deposit, and non-convertible debentures with original maturity less than one year.

Economic Survey 2012-13 comments: A reasonably well-developed corporate bond market is very much required in any economy to supplement banking credit and the equity market and to facilitate the long-term funding requirement of corporate sector as well as infrastructure development in the country. Though, the development of the corporate bond market has been an important area and has received greater policy attention in recent times, it is yet to take off in a significant manner. Some of the issues that ***need to be addressed*** in this regard include:

- Drawing up a roadmap for a structural shift from a *bank-dominated* financial system to a more diverse financial system where top-rated corporates access finance from capital markets;
- Strengthening of the *legal framework* for regulation of corporate debt by necessary amendments in rules/regulations, and
- Relaxation of investment *guidelines* for pension, provident, and insurance funds to enable the participation of longterm investors in the corporate bond market.

Introduction of new products and making nascent products such as covered bonds, municipal bonds, credit default swaps, credit enhancements, and securitization receipts more attractive may be considered for public issuance of bonds at reduced cost. Improving the market infrastructure for enabling liquidity, transparency in price discovery, and stimulating growth in trading volumes also need to be suitably addressed.

Inflation-Indexed Bonds

To protect the returns of investors from the vagaries of inflation, the Reserve Bank of India plans to introduce inflation-indexed bonds (IIBs) – it was proposed by the ***Union Budget 2013-14***. The government hopes this will help increase *financial savings instead of buying gold*. In the recent years, the rate of return on debt investments has often been below inflation,